



SEEK WISDOM, ELEVATE YOUR INTELLECT AND SERVE HUMANITY !

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Model Exit Exam

Addis Ababa University

College of Business and Economics

Department of Management

Model Exit Exam

Date: May 24, 2024

Time allowed: 2 Hour

Marks Allotted: 100

gmikaelbiyadgo@gmail.com

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1. The competitive structure of * 1 point
an industry is clearly
“attractive” except

- ☐ A. Entry barriers are relatively high
- ☐ B. Rivalry among sellers is moderate
- ☐ C. Few threat from substitute products
- ☐ D. The industry customers have strong bargaining power

2. Conglomerate diversification

* 1 point

- ☐ A. Permits building competitive advantage via cost sharing but not through skill transfer
- ☐ B. Is primarily a financial approach to diversification where value accrues from spreading risk across more businesses
- ☐ C. Is more likely to result in increasing shareholders value than is related diversification
- ☐ D. Is more attractive to multinational companies than to domestic –only companies

3. The business level strategy ★ 1 point
of an organization
encompasses

- ☐ A. The overall competitive theme that the organization intends to pursue
- ☐ B. The answer to the question: "What business should we be in?"
- ☐ C. A statement of mission, vision, and values of the organization.
- ☐ D. The detail of how organizational SBUs can be integrated.

4. Which of the following is not * 1 point
a sign of competitive
weakness?

- ☐ A. A declining market share
- ☐ B. Higher manufacturing costs than key rivals
- ☐ C. No real distinctive competencies
- ☐ D. Concentrating on fast –growing market segment

5. Which of the following is not * 1 point
a good example of a
successful type of
differentiation strategy?

- ☐ A. Differentiation based on superior technical features
- ☐ B. Differentiation based on economies of scale.
- ☐ C. Differentiation based on high product quality
- ☐ D. Differentiation based on increase customer services

6. W/ro Hellen, an owner manager of aqua peace Natural mineral water, is planning to pursue with a strategic management act for her business enterprise. The initial step to be undertaken under her endeavor is:

* 1 point

- ☐ A. Strategy Formulation
- ☐ B. Environmental Scanning
- ☐ C. Strategy Implementation
- ☐ D. Setting Vision and Mission

7. In the textile industry, a manufacturer is interested in the number of blemishes or flaws occurring in each 100 feet of material. The probability distribution that has the greatest chance of applying to this situation is:

* 1 point

- ☐ A. Normal
- ☐ B. Binomial
- ☐ C. Poisson
- ☐ D. Exponential

8. The fill amount of bottles of soft drink has been found to be normally distributed with a mean of 2.0 liters and a standard deviation of 0.50 liter. Bottle that contain less than 1.90 liters can make the manufacturer subject to penalty by the state office of consumer affairs whereas bottles that have a net content above 2.10 liters may cause excess spillage upon opening. What is the probability that a randomly selected bottle will contain below 1.90 liters?

☐ A. 0.421

☐ B. 0.046

☐ C. 0.546

☐ D. 0.499

9. A fund manager tries to convince you to invest in their fund by showing you the annual returns over the last five years as follows: 10%, 20%, 30%, 12%, and 105. What is the average return per year?

* 1 point

- ☐ A. 21.04%
- ☐ B. 18.18%
- ☐ C. 19.20%
- ☐ D. 16.15%

10. The production manager at * 1 point
a textile mill believes that a new machine producing cloth is not working according to the company's specifications. The company requires that the cloth should have a mean breaking strength of 6 Kg. A sample of 60 pieces of cloth reveals a sample mean breaking strength of 13.1 Kg and a standard deviation of 0.3 Kg. The test statistic for this scenario is

- ☐ A. 1.96
- ☐ B. 23.67
- ☐ C. 183.32
- ☐ D. 32.01

11. One of the following is not * 1 point
the use of statistics. Which
one is it?

- ☐ A. It present facts in a definite and precise form
- ☐ B. It helps assess the relationship between two or more variables
- ☐ C. It helps forecast future events
- ☐ D. It helps analyze qualitative data to capture themes and patterns.

12. A property of a point estimator that occurs whenever larger sample sizes tend to provide point estimates closer to the population parameter is known as?

* 1 point

- ☐ A. Efficiency
- ☐ B. Unbiasedness
- ☐ C. Consistency
- ☐ D. Sufficiency

According to a survey, 75% of * 1 point
all customers will return to the
same grocery store. Suppose
eight customers are selected
at random, what is the
probability that exactly five of
the customers will return?

- ☐ A. 0.0467
- ☐ B. 0.2076
- ☐ C. 0.2541
- ☐ D. 0.5001

14. Which of the following variables can be analyzed using the Chi-square test?

* 1 point

- ☐ A. Sex
- ☐ B. Wealth index
- ☐ C. Educational level
- ☐ D. Number of customer complaints per week.

15. "Regression analysis was ★ 1 point applied between \$ sales (y) and \$ advertising (x) across all the branches of a major international corporation. The following regression function was obtained. $\hat{y} = 5000 + 7.25x$. If the advertising budgets of two branches of the corporation differ by \$30,000, then what will be the predicted difference in their sales?"

- ☐ A. \$217,500
- ☐ B. \$222,500
- ☐ C. \$5,000
- ☐ D. \$7.25

16. When the researcher wants * 1 point
to locate and consider
resource persons with
experience of the subject
under study, which sampling
method do you recommend?

- ☐ A. Purposive sampling
- ☐ B. Snow ball sampling
- ☐ C. Quota sampling
- ☐ D. Stratified sampling

17. Which of the following * 1 point
represents the main section of
a research proposal?

- ☐ A. Introduction, Literature Review, Methodology, Research findings.
- ☐ B. Introduction, Literature Review, Methodology, Research findings, Recommendation.
- ☐ C. Acknowledgement, Introduction, Literature Review, Methodology, Bibliography.
- ☐ D. Introduction, Literature Review, Methodology, Time and Cost budget, Bibliography.

18. Descriptive research can * 1 point
do the following except:

- ☐ A. Description of population characteristics.
- ☐ B. Estimates of frequency of characteristics.
- ☐ C. Understanding a phenomenon in terms of conditional statements of the form "if x, then y."
- ☐ D. Discovery of association among variables.

19. Which of the following is * 1 point
not something a researcher
will have to consider when
thinking about the sample
size?

- ☐ A. Time and cost.
- ☐ B. Non-response rate.
- ☐ C. Length of questionnaire.
- ☐ D. Heterogeneity of population.

20. The basis of classifying research based on applicability or purpose of the research outcomes results in * 1 point

- ☐ A. Quantitative or qualitative research
- ☐ B. Basic or applied research
- ☐ C. Descriptive, explorative or explanatory research
- ☐ D. Conceptual or empirical research

21. The person most responsible for popularizing interchangeable parts in manufacturing was

* 1 point

- ☐ A. Frederick Winslow Taylor
- ☐ B. Eli Whitney
- ☐ C. Elton Mayo
- ☐ D. Lillian Gilbert

22. Productivity can be improved by

* 1 point

- ☐ A. Increasing inputs while holding outputs steady
- ☐ B. Decreasing outputs while holding inputs steady
- ☐ C. Decreasing inputs while holding outputs steady
- ☐ D. Increasing inputs and outputs in the same proportion

23. A foundry produces circular utility access hatches. Currently, 160 covers are produced in a 10-hour shift. If labor productivity can be increased by 25%, it would then be

* 1 point

- ☐ A. 10 covers/hr
- ☐ B. 20 covers/hr
- ☐ C. 25 covers/hr
- ☐ D. 1600 covers/hr

24. Service blueprinting *

1 point

- ☐ A. Provides the basis to negotiate prices with suppliers
- ☐ B. Focuses on the provider's interaction with the customer
- ☐ C. Mimics the way people communicate
- ☐ D. Determines the best time for each step in the process

25. A job shop is an example of; * 1 point

- ☐ A. Repetitive process
- ☐ B. Continuous process
- ☐ C. Intermittent process
- ☐ D. Line process

26. A newly formed Artificial Intelligence Institute (All) has five trainers available in its computer labs to provide training sessions to intelligent staff. Assume that the capacity of the system is 1900 trainees per semester and the utilization is 90%. If the number of trainees who actually got their orientation session is 1500, what is the efficiency of the system?

* 1 point

- ☐ A. 90%
- ☐ B. 127%
- ☐ C. 5%
- ☐ D. 79%

27. XYZ Engineering

* 1 point

Corporation has the following tasks that are necessary to manufacture component part Q-3 used to be assemble in a war planes, as shown below:

If the required number of units to be produced per day and time available per day are 300 units and 1 hour respectively, using a primary rule of largest (ranked) positional weight and a secondary rule of most number following; what is the total number of theoretical workstations?

Task	Task time(seconds)	Task that precedes
A	5	-
B	10	A
C	15	B
D	20	-
E	10	-
F	10	C, D, E
G	5	F
H	9	G

☐ A. 7☐ B. 5☐ C. 8☐ D. 9

28. Changing workforce level ★ 1 point
so that production rates match
demand rates best represents

- ☐ A. Level demand strategy
- ☐ B. Sub-contracting
- ☐ C. Level capacity strategy
- ☐ D. Chase demand strategy

29. A capital investment is one * 1 point
that

- ☐ A. has the prospect of long-term benefits
- ☐ B. Has the prospect of short-term benefits.
- ☐ C. Is only undertaken by large corporations.
- ☐ D. Applies only to investment in fixed assets.

30. Profitability Index is a variation of which of the following techniques?

* 1 point

- ☐ A. Internal Rate of Return
- ☐ B. Net Present Value
- ☐ C. Payback Period
- ☐ D. Accounting Rate of Return

31. One of the following ratios ★ 1 point
measures the ability of a firm
to satisfy its short-term
obligations as they come due.

- ☐ A. Profit margin
- ☐ B. Quick ratio
- ☐ C. Return on Asset
- ☐ D. Debt Equity ratio

32. Which of the following true * 1 point
about the relationship between
risk and return of an
investment asset?

- ☐ A. As the risk of the asset increases
the return required from it also
increase
- ☐ B. As the return from the asset
increases its risk also increases
- ☐ C. As risk increases return required
from the asset decreases
- ☐ D. All of the above

33. Which of the following is ★ 1 point
not among the financial
management functions?

- ☐ A. Deciding the level and amount of debt that the firm should generate
- ☐ B. Advising on projects the organization should invest in
- ☐ C. Advising on the best human resource retention strategy
- ☐ D. All of the above

34. The internal supply of labour for an organization is affected by:

* 1 point

- ☐ A. Training and development programs
- ☐ B. Retirement policies
- ☐ C. Transfer and promotion policies
- ☐ D. All of the above

35. Which of the following best * 1 point
represents the primary
function of human resource
management in organizations?

- ☐ A. A system for collecting, maintaining, and reporting information on employees and job roles
- ☐ B. Integrating employees' needs and aspirations with that of the organization's to successfully achieving them.
- ☐ C. Facilitating collaboration between employees and the organization to achieve mutual goals
- ☐ D. Enhancing the quality of life for workers

36. Which of the following best * 1 point describes the impact of economic conditions on human resource management?

- ☐ A. The need for HR to focus on cultural diversity initiatives
- ☐ B. The necessity for HR to adjust recruitment strategies based on labor market conditions
- ☐ C. The emphasis on employee wellness programs
- ☐ D. The importance of developing cross-functional teams

37. A process of increasing * 1 point
knowledge, skills & capabilities
of people at work is referred
as:

- ☐ A. Performance appraisal,
- ☐ B. Employee selection,
- ☐ C. Human resource development,
- ☐ D. Human resource planning

38. Mekonnen feels exhausted * 1 point
due to the monotonous nature
of his job. Which one of the
following job design
approaches would you
suggest to help relieve this
fatigue and increase the task
variety in the job?

- ☐ A. Job simplification
- ☐ B. Job enlargement
- ☐ C. Job enrichment
- ☐ D. Job sharing

39. Which among the following * 1 point
better characterizes
development in organizations?
It is

- ☐ A. is short-term in nature
- ☐ B. is focuses on the employee's current job
- ☐ C. aims at improving the total personality of a manager
- ☐ D. Is an informal activity

40. If we say employees of Commercial Bank of Ethiopia (CBE) receive salary that is comparable to those employees who work in Awash Bank S. Co., what form of pay equity is likely present at CBE?

* 1 point

- ☐ A. Internal equity
- ☐ B. Employee equity
- ☐ C. External equity
- ☐ D. None of the above

41. Meselech is well-known in ★ 1 point
her organization for her attendance. Everyone notices that she arrives at work early and doesn't mind spending her weekend completing extra work assigned to her. Her supervisor is very pleased with her and always rates her extremely high on her performance appraisal scores regardless of the criteria. This performance appraisal problem can be identified as:

- ☐ A. Strictness
- ☐ B. Leniency
- ☐ C. Halo effect
- ☐ D. Horn effect

42. Which of the following are * 1 point
the five process groups in
project management?

- ☐ A. Initiating, planning, executing, monitoring, and controlling
- ☐ B. Initiating, planning, executing, monitoring, and closing
- ☐ C. Initiating, scoping, executing, monitoring, and closing
- ☐ D. Initiating, planning, executing, testing, and closing

43. The project Manager must * 1 point
ensure that it develops
appropriate trade off/s as

- ☐ A. Time, cost and scope
- ☐ B. Time, value and scope
- ☐ C. Men, Materials and Machines
- ☐ D. All except D

44. Jemal is a project manager * 1 point
in an IT company and has over
the years, gained substantial
knowledge in his area of work.
However, while managing his
team, he often loses his
temper. In addition, he fails to
be an active listener when his
team members approach him
with work-related challenges.
Which of the following areas
does Jemal need to develop
his skills in?

- ☐ A. Application area knowledge
- ☐ B. Project environment knowledge
- ☐ C. Standards and regulations
- ☐ D. Interpersonal skills

45. For activity "D" in a CPM analysis, the early Finish time is 13 weeks and the late Finish time is 13 weeks. The duration of the activity "D" is 6 weeks. Which of the following statements is true about activity "D"?

* 1 point

- ☐ A. The early start is 6
- ☐ B. The slack of this activity is 13
- ☐ C. The activity is on the critical path
- ☐ D. None of the above

46. An IT project has the following cash inflows and (outflows). At the start (90,000), Year1: 40000, Year2: 50000, Year3: 60000, Residual Value (at the end of 3rdyear): 20000. The payback period for this project would be:

* 1 point

- ☐ A. 2 years and 3 months.
- ☐ B. 2 years and 6 months
- ☐ C. 3 years.
- ☐ D. 2 years.

46. A firm is about to undertake a project and has computed the NPV of the project using a variety of discount rate as it is presented in the following table. What is the approximate IRR of this project?

* 1 point

Discount Rate	NPV
10%	130
15%	50
20%	-50

- ☐ A. 20%
- ☐ B. 17.5%
- ☐ C. 15%
- ☐ D. 22.5%
- ☐ E. 15.5%

48. _____ is the amount of a * 1 point
scarce resource that is unused
by a given solution.

- ☐ A. Slack
- ☐ B. Surplus
- ☐ C. Artificial variable
- ☐ D. Minimization

49. One is not components of LP models * 1 point

- ☐ A. Objective
- ☐ B. Decision variable
- ☐ C. Divisibility
- ☐ D. Constraints

50. Which of the following is * 1 point
solution approaches
networking ?

- ☐ A. Hungarian method
- ☐ B. Modi method
- ☐ C. Steeping stone
- ☐ D. Dijkstraalgorithm

